



Bank Alfalah

ALFA LEAD **ASSESSMENT** **CENTER**



Case Study
Solution Key



Part A: Crunch The Numbers

Q1: Will total 2027 remittance volume reach \$4.1B?

Formula: Quarterly Volume = (Previous Organic Base × 1.06) + Partnership Add-on (\$75M from Q3 2026). Total 2027 volume = sum of Q1–Q4 2027.

Quarter	Organic Base (\$M)	Partnership (\$M)	Total Volume (\$M)	Market Share
Q1 2026	475.0	—	475.0	4.6%
Q2 2026	503.5	—	503.5	4.9%
Q3 2026	533.7	75.0	608.7	5.9%
Q4 2026	565.7	75.0	640.7	6.3%
Q1 2027	599.7	75.0	674.7	6.6%
Q2 2027	635.7	75.0	710.7	6.9%
Q3 2027	673.8	75.0	748.8	7.3%
Q4 2027	714.2	75.0	789.2	7.7%

✗ Target NOT met. Total 2027 volume (Q1–Q4): \$2.92B vs. \$4.1B target. Shortfall: ~\$1.18B (~29%).

The bank reaches ~7.7% market share by Q4 2027 — meaningful progress from 5%, but short of the 10% goal.

Key insight: Organic growth (6%/quarter) and the exchange house partnership together are not enough. The bank needs additional corridors, faster digital adoption, or receiver-side monetization to close the gap.

Q2: Total 2027 transactions and fee revenue

Total 2027 volume: \$2,923M ÷ \$300 avg = ~9.74 million transactions.

Fee revenue: 9.74 million × \$4.20 = ~\$40.9 million in 2027.

This is meaningful but modest — the real value lies in downstream relationships (deposits, cards, bill payments) that remittances unlock.

Assessor note: Candidates don't need exact figures. Award full marks for correct compounding logic, directional answer (target not met, ~\$2.9B vs \$4.1B), and the insight that fee revenue alone doesn't justify the strategy — the real prize is the customer relationship.

Part B: Suggested 12-Month Strategy

A strong response should read as a practical, phased plan — not a list of ideas. Assess quality of thinking, not breadth.

Step 1: Diagnose the problem

Why is Bank Alfalah losing in remittances? Strong candidates should identify:

- No physical presence in Saudi Arabia (the #1 corridor): The bank cannot acquire senders directly. It relies entirely on correspondent relationships, where it has no brand visibility.
- Speed and cost disadvantage: Exchange houses and fintechs deliver in hours for lower fees. Bank Alfalah's 2–3 day processing time is a dealbreaker for workers like Farhan who need money to arrive before Eid.
- Receiver experience is transactional: Money arrives but nothing else happens. No follow-up, no bill payment offer, no savings prompt. The receiving family has no reason to prefer Bank Alfalah over any other channel.
- Hawala competes on trust and convenience: In rural areas, the local hawala operator is a known face. Bank Alfalah is a logo on a branch they may never visit.
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What to look for: Does the candidate connect Farhan’s experience to structural issues? Do they understand that the problem is on both ends — the sending side AND the receiving side?

Step 2: The plan — three phases

Phase	What to do	Why it matters	Resources
Phase 1:			
Months 1–3			
Win the sender	Partner with 3–5 licensed exchange houses in Saudi Arabia and UAE (the two biggest corridors). Offer Bank Alfalah-branded remittance at exchange house counters with same-day Raast delivery to any Pakistani mobile number. Run a Ramadan/Eid campaign with zero-fee first transfer.	This bypasses the “no Saudi branches” constraint. The exchange house handles the sender; Bank Alfalah handles instant delivery. Farhan gets speed + low cost without needing to change his habits.	Partnership setup + marketing. ~PKR 100–120M.
Phase 2:			
Months 4–8			
Convert the receiver	When a remittance arrives, auto-prompt the receiver to open a free Bank Alfalah digital account (no branch visit — agent-assisted or Alfa app). Offer one-tap bill payment, school fee payment, and a basic savings pocket. Link the account to Raast for future direct transfers.	This turns a one-time transaction into an ongoing relationship. Farhan’s wife in Mirpur Khas becomes a Bank Alfalah customer — not just a remittance recipient.	Digital onboarding + agent training + Alfa feature build. ~PKR 120–140M.
Phase 3:			
Months 6–12			
Build the ecosystem	Create a “Farhan & Family” bundle: link the sender’s account (via exchange partner) to the receiver’s Bank Alfalah account. Enable scheduled transfers, spending alerts for the sender, and a family dashboard. Offer receiver-side micro-credit based on remittance history.	This is the long-term differentiator. No exchange house or fintech offers this. It turns remittance data into a credit profile and builds loyalty that survives a fee comparison.	Product development + data analytics. ~PKR 80–100M.

Total estimated budget: PKR 300–360M (around the PKR 350M constraint — may require phased approval).

What to look for: Is the plan sequenced logically (acquire → convert → deepen)? Does the candidate address both the sender and receiver side? Do they work around the Saudi Arabia constraint creatively?

Step 3: How this makes Bank Alfalah different

- Against HBL/UBL: These banks have more branches but treat remittances as a commodity. Bank Alfalah’s edge is the receiver-side experience — instant Raast delivery + digital account + bill payments. The transaction doesn’t end when the money arrives; it begins.
- Against exchange houses: They’re fast and cheap but can’t offer a bank account, a savings product, or credit. Bank Alfalah partners with them for speed but adds layers they can’t.
- Against fintechs (Wise, Remitly): They own the sender experience but have no presence on the ground in Pakistan. Bank Alfalah’s 1,185 branches, 114,000 touchpoints, and agent network give it physical reach that no fintech can replicate in Mirpur Khas.

What to look for: Can the candidate articulate a practical competitive advantage without resorting to buzzwords?

Step 4: What could go wrong + safeguards



Risk	Warning sign	What to do
Exchange house partners underdeliver on volume	Quarterly volume from partnerships stays below \$50M (vs. \$75M target)	Renegotiate exclusivity terms; add 1–2 additional partners in UAE/UK
Receivers don't convert to full accounts	Less than 20% of prompted recipients open a digital account	Simplify onboarding further; offer a tangible incentive (e.g., first bill payment free)
AML/KYC compliance issues with new partners	SBP raises concerns or issues warnings	Pre-vet all exchange partners through compliance; embed compliance officer in partnership team
Hawala networks undercut on price in rural areas	Formal remittance volumes flat in Tier 3 areas despite marketing	Deploy agent-led awareness campaigns; leverage Raast's zero-cost advantage as the counter-narrative

What to look for: Does the candidate think about risk on both the sender side (partnerships) and receiver side (adoption)? Are safeguards realistic?

Step 5: How to know if the strategy is working

- Is remittance volume growing faster than the 6% organic baseline?
- What % of remittance recipients are opening Bank Alfalah accounts?
- Are those new accounts being used for bill payments, savings, or other transactions beyond remittances?
- Is the sender-side experience improving (NPS, repeat usage, referrals)?
- Is market share moving from 5% toward the 10% target quarter by quarter?

What to look for: Are the measures tied to the plan's logic (acquire → convert → deepen), or are they generic?